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11.5 Revenue expenditure

The expenditure incurred for day to day running of the business or for maintaining the earning capacity of the business is known as revenue expenditure. It is recurring in nature. It is incurred to generate revenue for a particular accounting period. The revenue expenditure may be incurred in relation with revenue or in relation with a particular accounting period. For example, cost of purchases is a revenue expenditure related to sales revenue. Rent and salaries are related to a particular accounting period.

11.5.1 Features of revenue expenditure

Following are the features of revenue expenditure:

i) It is recurring in nature.
ii) It is incurred for maintaining the earning capacity of the business.
iii) Its benefit expires in the same accounting period.
iv) It is shown on the debit side of the trading and profit and loss account.

Examples

- Purchase of goods for resale.
- Administrative, selling and distribution expenses.
- Manufacturing expenses.



Student activity

Think: Identify and list down capital and revenue expenditures at home and at school.

11.6 Deferred revenue expenditure

An expenditure, which is revenue expenditure in nature, the benefit of which is to be derived over a subsequent period or periods is known as deferred revenue expenditure. The benefit usually accrues for a period of two or more years. It is for the time being, deferred from being charged against income. It is charged against income over a period of certain years.

11.6.1 Features of deferred revenue expenditure

Following are the features of deferred revenue expenditure:

a) It is a revenue expenditure, the benefit of which is to be derived over a subsequent period or periods.

b) It is not fully written off in the year of actual expenditure. It is written off over a period of certain years.

c) The balance available after writing off (i.e., Actual expenditure - Amount written off) is shown on the assets side balance sheet.

Examples

- Considerable amount spent on advertising
- Major repairs to plant and machinery